

$$\text{Arthur Indicator}_{1.0} = \frac{\text{EV}}{\text{Revenue} \times \left(\frac{\text{Gross Margin}}{+ \text{Revenue Growth}} \right)}$$

Big picture, I'm trying to create a single simple metric that answers, *"Am I paying a reasonable price for the ***quality of this business***? (with emphasis on forward-looking value creation / scalable potential)"*

Versus something like P/E, which asks, *"Am I paying a reasonable price for the ***current earnings power*** of this business?"*

And, like in the YETI chart above, I wanted something I could easily graph over time, so it's super easy to see when the valuation "dips" into a "green" fair-value zone. E.g., see attached chart of META in 2022. A screaming BUY.



It started with my laziness and dissatisfaction with these 3 things:

1. ***DCF*** – The most robust and holistic way to value a company, but takes a lot of work, and I'm lazy!
2. ***P/Es*** – Sometimes useful, but you're gonna miss the boat on the next Amazon b/c the next Bezos is gonna keep ploughing revenue back into CapEx, R&D, and new programs. So P/E looks insane when the company consciously chooses to build durable advantage instead of turning on the cash flow spigot.
3. ***Rule of 40*** (Rule of 40 Score = Revenue Growth Rate (%) + Profit Margin (%)) – Sometimes useful for assessing performance of growth companies, giving

“credit” for achieving strong levels and appropriate balance between growth and profitability. But on its own, just tells you about performance, not whether a stock is richly vs. fairly valued.

I found myself wishing there was a simple metric, like P/E or Rule of 40, but that was more holistic like a DCF — something that tells you about valuation, that’s forward-looking and normalizes valuation to business model quality and scalability.

So the Arthur Indicator is sort of like dividing the P/E by the Rule of 40, with some key modifications:

- I use EV/Revenue instead of P/E. I’m looking for valuation from a ***product economics*** perspective, and again don’t want to “ding” the company for investing in R&D and CapEx (durable advantage).
- Instead of the traditional Rule of 40 that adds Growth + Profit Margin, I use Growth + Gross Margin. This gives me a performance metric that emphasizes ***scalability potential*** of the business. Again, gross margin focuses on product economics and business model attractiveness, and doesn’t punish investment in R&D or CapEx; or distortions from near-term / temporary / long-term-“fixable” things like stock-based comp, G&A bloat, etc. If my qualitative assessment identifies a high-quality world-changing product, I believe revenue growth cures all, great operators (e.g., Tim Cook-style COOs) will come on board, and these short-term inefficiencies will sort themselves out in the long-run. I know that’s a little flippant—I want to see great management teams—but at the end of the day it’s way easier to fix a bloated sales force than a fundamentally flawed product.

In the end, the Arthur Indicator is about ***valuation efficiency for growth businesses***.

Is this business likely to generate great returns on my investment, given its growth and business quality?

In terms of next steps, I’m working on a more sophisticated Arthur Indicator 2.0. It’s going to incorporate rate-of-change. E.g., not just growth rate, or gross margin, but the derivative. Is growth accelerating/decelerating? Are margins improving/degrading?

Maybe I will even deviate from the purity of focus on product economics and start to layer in some weighted measure of operating margin and FCF margin. But it’s going to require some backtesting. Maybe something like the attached formula.

$$\text{Arthur Indicator2.0} = \frac{\text{EV}}{\text{Revenue} \times \left(\begin{array}{l} w_1 \cdot \text{Revenue Growth} \\ +w_2 \cdot \text{Gross Margin} \\ +w_3 \cdot \text{Operating Margin} \\ +w_4 \cdot \text{FCF Margin} \\ +w_5 \cdot \Delta(\text{Revenue Growth}) \\ +w_6 \cdot \Delta(\text{Gross Margin}) \\ +w_7 \cdot \Delta(\text{Operating Margin}) \\ +w_8 \cdot \Delta(\text{FCF Margin}) \end{array} \right)}$$